BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-XXXX, 25-G-XXXX

January 2025

Prepared Testimony of:

Stephanie Merritt –

Property Tax Panel

Stephanie J. Merritt
4 Irving Place
New York, New York, 10003

25-E-XXXX & 25-G-XXXX

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

DIRECT TESTIMONY – STEPHANIE MERRITT (PROPERTY TAX WITNESS)

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	PURPOSE OF TESTIMONY	4
III.	SUMMARY OF RECENT AND PROJECTED PROPERTY TAXES	7
IV.	NYC TAX FORECAST	12
V.	WESTCHESTER & OTHER TAX FORECAST	20
VI.	UNCERTAINTY ASSOCIATED WITH FORECASTING PROPERTY TAXES	27
VII.	EFFORTS TO MINIMIZE PROPERTY TAXES	40
VIII.	DISPOSITION OF PROPERTY TAX BENEFITS ON FUTURE PROPERTY TAX REDUCTIONS	61

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

DIRECT TESTIMONY – STEPHANIE MERRITT (PROPERTY TAX WITNESS)

I. INTRODUCTION

Q. Please state your name and business address.

A. Stephanie J. Merritt. My business address is 4 Irving Place, New York, New York.

Q. By whom are you employed and in what capacity?

A. I am employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company") and my responsibilities include the property tax functions for the Company and its affiliate, Orange and Rockland Utilities, Inc. ("O&R").

Q. Please explain your educational background, work experience and current general responsibilities.

A. I graduated from Le Moyne College in 2004 with the degree of Bachelor of Science in Accounting, as well as a Bachelor of Arts in Economics. Currently, I am pursuing a Master of Business Administration Degree in Accounting and Finance from Syracuse University. I have been employed by Con Edison since 2005 and have held various positions of increasing responsibility

within the Finance area. After approximately two years in Corporate Accounting, I transferred to the Tax Department where I was promoted to Staff Accountant in the Financial Accounting and Regulatory Depreciation Group. In that position, my major responsibilities included the preparation and interpretation of the Company's depreciation studies in connection with rate proceedings. I have assisted in over ten rate proceedings for Con Edison; O&R; Rockland Electric Company (O&R's New Jersey utility subsidiary); and Pike County Light & Power Company (O&R's former Pennsylvania utility subsidiary). In 2010, I began working in the Property Tax Group. I started as the Accounting Supervisor and rose to the position of Senior Tax Accountant in 2014. In September 2015, I was promoted to Section Manger – Local Taxes, and in June 2017 I was promoted to Department Manager – General Taxes. I have held my current position of Director – General Tax since July

2020. My responsibilities include oversight of the sections and personnel responsible for taxes other than income taxes, including all local and state, excise, sales and use taxes.

Q. Are you a member of any property tax industry associations?

A. Yes. I am a member of the Institute for Professionals in Taxation. I am also a member of the Council on State Taxation.

Q. Have you previously testified before the Commission regarding property taxes?

A. I have testified before the Commission regarding property taxes in the following Con Edison base rate cases: Cases 13-E-0030, 13-G-0031, 13-S-0032, 16-E-0060 16-G-0061, 19-E-0065, 19-G-0066, 22-E-0064, 22-G-0065 and 22-S-0659. I have also testified before the Commission regarding property taxes in the following O&R base rate cases: Cases 18-E-0067, 18-G-0068, 21-G-0073, 21-E-0074, 24-E-0060 and 24-G-0061.

II. PURPOSE OF TESTIMONY

Q. What is the purpose of your direct testimony in these proceedings?

A. My direct testimony:

- Presents general background information on property taxes;
- Describes the level of electric and gas property taxes recently paid by the Company;
- Presents the Company's electric and gas property tax forecast and the methodology and certain assumptions used in that forecast;
- Explains the limitations on the Company's ability to control, and consequently, the difficulty in estimating, the level of its property tax obligations and describes the corresponding need for a full and symmetrical property tax reconciliation, which is also discussed in the

direct testimony of the Company's Accounting Panel;

- Discusses the Company's efforts to limit its property tax obligation to its fair share; and
- Discusses the Company's proposal to recover its costs to achieve property tax savings, which can come in the form of a refund, credit or future property tax reduction.

Q. Please explain the general basis upon which property taxes levied upon the Company have historically been determined.

A. Historically, Con Edison has paid two types of property taxes: real estate taxes and special franchise taxes. Real estate taxes are based on the "value" of taxable property and include taxes on land and structures or equipment erected or affixed to land. Special franchise taxes are property taxes on utility equipment located on or under public streets

and highways. In New York State ("NYS"), public utility property is valued using the "cost approach." The NYS Office of Real Property Tax Services ("ORPTS") and many local assessors in the Company's service territory determine value by using a Reproduction Cost New Less Depreciation ("RCNLD") methodology for utility structures and/or equipment. RCNLD calculates what it would cost to reproduce the utility structures and/or equipment at current construction costs based on a trending index, subtracts an allowance for depreciation and obsolescence, if any, and adds the value of land to arrive at a "value" for the entire property. The RCNLD methodology applies to all Company equipment and certain Company structures. The value of real property and commercial buildings, such as the Company's 4 Irving Place Headquarters or the Learning Center, are determined by comparable sales or rental data rather than the RCNLD methodology.

III. SUMMARY OF RECENT AND PROJECTED PROPERTY TAXES

Q. To whom does the Company pay property taxes?

A. The Company pays a majority of its property taxes to New York City ("NYC"). There are four classes of property in NYC and, as set forth below, four different tax rates.

- Classes 1 and 2 pertain to various forms of residential property.
- Class 3 contains most utility property. Special franchise property is included within this class. Con Edison makes up 85% of Class 3 property.
- Class 4 contains all commercial and industrial properties, such as office, retail, factory buildings and all other properties not included in Classes 1, 2 or 3.

With minor exceptions covering certain vacant land that is classified within Classes 1 and 2, the vast majority of the Company's property is included in Class 3. The remainder is included in Class 4.

The Company also pays property taxes to municipalities in Westchester County. In addition, the Company pays property taxes to municipalities in Orange, Rockland, Dutchess and Putnam Counties, where it owns transmission facilities. The Company also pays property taxes on gas storage facilities (pursuant to a service agreement) located in West Virginia and Mississippi. I will refer to non-NYC municipalities as "Westchester & Other."

Q. Please provide some background on the amount of property taxes paid by the Company.

A. For the historic test year (*i.e.*, October 1, 2023 through September 30, 2024), property taxes for electric expense were $2,036.6 million, and for gas expense were $479.4 million. Of those amounts, $2,285.4 million was applicable to NYC and $230.7 million to Westchester & Other.

Q. Have you forecasted property taxes for calendar year 2026 for this proceeding?

A. Yes. For calendar year 2026 ("Rate Year" or "RY1"), I have forecasted property taxes for electric expense to be $2,670.3 million and for gas expense to be $615.5 million. Of those amounts, $3,029.3 million is applicable to NYC ($2,491.3 million for electric and $538.0 million for gas) and $256.5 million is applicable to Westchester & Other ($179.0 million for electric and $77.5 million for gas).

Q. Have you forecasted property taxes for calendar years 2027 and 2028?

A. Yes. I forecasted property taxes for the two annual periods beyond the Rate Year to provide a basis for settlement discussions regarding a multi-year rate plan. I refer to calendar year 2027 as "RY2" and calendar year 2028 as "RY2".

Q. Are you sponsoring an exhibit setting forth the forecasted property taxes by rate year?

A. Yes, I am sponsoring Exhibit __ (PTP-1) entitled "Consolidated Edison Company of New York, Inc.

Forecasted Property Taxes by Rate Year". This exhibit summarizes the forecasted property taxes for RY1, RY2, and RY3.

Q. Was Exhibit __ (PTP-1) prepared by you or under your direction and supervision?

A. Yes.

Q. What are the main drivers of the Company's property tax increases during 2026 through 2028?

A. Property taxes increase for three reasons: the tax rate increases, the assessed value of the taxable property increases, or both the tax rate and assessed value increase. Each possibility is dependent on many factors, all of which are outside the Company's control, making it difficult for the Company to estimate future property taxes. For example, it is impossible for the Company to determine the financial needs of NYC and each Westchester & Other municipality (and school district) each year. In every case, the

property taxes assessed to the Company are the result of the decisions, economic circumstances, and political considerations of the jurisdiction levying the tax. The Company has no control over tax rates. Assessment challenges, when warranted, are the Company's only recourse to mitigate its property tax liability. The primary driver of assessment increases is due to (1) the growth of the value of the Company's property and equipment through new infrastructure investment, and (2)changes in the market value due to the annual Class Equalization Ratios calculated by the Office of Real Property Tax Services within the NYS Department of Taxation and Finance, the application of the Handy-Whitman construction index, and changes in depreciation that include physical depreciation, as well as functional and economic obsolescence.

Q. Will the Company provide updates related to property taxes during these proceedings?

A. Yes. The Company will update property taxes at the update stage of these proceedings and will also provide updated property tax information throughout these proceedings if new information becomes available that is, in the Company's judgment, significant. It is the Company's recommendation to base the revenue requirements in these proceedings on the latest available information on property taxes, subject to full reconciliation as discussed later in my testimony and in the direct testimony of the Company's Accounting Panel.

IV. **NYC TAX FORECAST**

Q. Please explain how you forecasted NYC property taxes.

A. I used the Company's 2024/2025 real estate and special franchise assessed values as a starting point and applied current tax rates to those values to compute taxes for fiscal year 2024/2025. I then computed estimated changes to assessed values for subsequent periods based on net plant changes forecasted by the

Company's Accounting Panel and applied a property tax escalation rate for each applicable property class.

Q. How did you compute the property tax escalation rate for each Class 3 and Class 4 in your property tax forecasts?

A. The property tax escalation rate I used to forecast Class 4 property taxes is based on the five-year average of the most recent property tax rate changes beginning with fiscal year 2019/2020 and ending with fiscal year 2024/2025.

The property tax escalation rate used to forecast Class 3 property taxes is based on the five-year average of the most recent property tax rates beginning with fiscal year 2019/2020 and ending with fiscal year 2024/2025.

Q. Is this the same escalation approach you used in prior cases?

A. It is for Class 4. The Class 3 property rate for fiscal year 2024/2025 is an outlier. Therefore, I used an alternative approach to forecast the future Class 3 property taxes.

Q. Why did you identify the Class 3 property rate for fiscal year 2024/2025 as an outlier?

A. The Class 3 property tax rate decreased to 11.181% (or decreased by 7.440%) in fiscal year 2024/2025 compared to 12.094% in fiscal year 2023/2024. This decrease was primarily due to two significant factors that resulted in a lower Class 3 property tax rate when compared to fiscal year 2023/2024. These factors were (1) the sharp increase in the citywide Class 3 taxable assessed values, and (2) the 2024 legislative amendment to adjust the standard 5% cap on Class Shares that affect how property taxes are calculated and distributed among NYC's four property tax Classes by the City Council.

Q. Please explain the decrease in the Class 3 property tax rate due to the increase in fiscal year 2024/2025 citywide Class 3 taxable assessed values.

A. The citywide Class 3 taxable assessed values increased by $4.4 billion (or by 20.13%) to $26.4 billion for fiscal year 2024/2025 compared to $22.0 billion in fiscal year 2023/2024. This $4.4 billion increase was based on (1) market value increases due solely to market forces in the amount of $2.5 billion and (2) physical changes in the amount $1.9 billion. These increases were offset by a decrease of $23.9 million due to other reasons such as apportionments, mergers and parcel reclassifications.

In contrast, for fiscal year 2024/2025 the citywide taxable assessments for the residential tax classes (Classes 1 and 2) increased on average by 3.75% and the commercial and industrial tax class (Class 4) increased by 2.31%.

The 20.13% increase in the citywide Class 3 taxable assessed values is more than five times the increase to the residential tax classes (Classes 1 and 2) and more than eight times the commercial and industrial (Class 4) increase.

In New York State, the main revenue source to balance local municipal budgets is property taxes. If the assessed value increases, the tax rate may decrease and still yield the necessary municipal revenue. The impact of the 20.13% increase in the citywide taxable assessed values for Class 3 property resulted in an 11.639% property tax rate for fiscal year 2024/2025, which would have been an 3.760% decrease when compared to fiscal year 2023/2024 (at 12.094%). However, the 2024 legislative amendment to adjust the standard 5% cap on Class Shares resulted in a further decrease of the Class 3 property tax rate for fiscal year 2024/2025 to 11.181%.

Q. Please explain the decrease in the Class 3 property tax rate for fiscal year 2024/2025 due to the 2024 legislative amendment to adjust the standard 5% cap on Class Shares.

A. On October 23, 2024, the NYC Council lowered the standard 5% Cap on Class Shares to 0.90%, which affects how property taxes are calculated and distributed among NYC's four property tax classes. This 2024 legislative amendment was enabled by Chapter 210 of the Laws of New York of 2024, which codified an exception to allow the NYC Council to adjust the standard 5% cap on Class Shares to a lower percentage based on their discretion, provided the Class Shares did not exceed 5% and was established by November 1, 2024. The NYC Council exercised their discretion pursuant to this State Law provision. This action was taken in order to the mitigate the tax shock of the NYS State Board of Real Property Tax Services' ("SBRPTS") fiscal year 2024/2025 class equalization

rates that would have resulted in an 4.1% increase for the Class 1 property tax rate when compared to fiscal year 2023/2024. The NYC Council determined that the NYS SBRPTS class equalization rates coupled with assessment increases would have caused significant increases in the property tax bills for Class 1 homeowners. Therefore, the legislative amendment to lower the standard 5% Cap on Class Shares to 0.09% was enacted to maintain the same Class 1 property tax rate for fiscal year 2024/2025 as for fiscal year 2023/2024 (at 20.085%). As a result of this 2024 legislative amendment to adjust the standard 5% cap on Class Shares, the Class 3 property tax rate was further decreased from 11.639% (based on the more than 20% increase in the year-over-year citywide taxable assessed values) to 11.181% for the fiscal year 2024/2025. This resulted in an 7.440% total decrease in the Class 3 property tax rate when compared to 12.094% for fiscal year 2023/2024. In contrast,

however, the year-over-year Class 4 property tax year increased by 1.890% for fiscal year 2024/2025 (at 10.762%) when compared to fiscal year 2023/2024 (at 10.592%) and the year-over-year property tax rate for Class 2 was statistically unchanged for fiscal year 2024/2025 (at 12.500%) when compared to fiscal property year 2023/2024 (at 12.502%).

Q. Has the Company historically benefited from this legislative amendment for its Class 3 property?

A. No. The impact on this legislative amendment is discussed in more detail later in my testimony.

Q. You have explained why the Class 3 property rate for fiscal year 2024/2025 is an outlier. Why is your alternative approach to forecast the future Class 3 property taxes appropriate?

A. The alternative approach mitigates the tax shock or effect of fiscal year 2024/2025 in the traditional five-year average growth rate calculation while accounting for historical data. It also avoids an

overly optimistic forecast based on recent declines. Although, the 12.229% five-year average Class 3 property tax rate is 9.370% higher than the latest known Class 3 property tax rate of 11.181% for fiscal year 2024/2025 this rate is still lower than the Class 3 property tax rate for (most of) the more recent fiscal years. Recent fiscal years include, 2019/2020 (at 12.536%), 2020/2021 (at 12.826%), 2021/2022 (at 12.289%), and 2022/2023 (at 12.755%).

V. WESTCHESTER & OTHER TAX FORECAST

Q. Please describe how you arrived at the forecasted property tax amounts for Westchester & Other.

A. For Westchester & Other, I used the Company's most recent property taxes paid as a starting point. This is because it is not practicable for the Company to specifically forecast property taxes for each of the many different municipalities, school districts and other special districts to which the Company pays property taxes because each has different factors

affecting its need to raise revenue. I then added forecasted property tax expense associated with the incremental additions to plant in service based on net plant changes forecasted by the Company's Accounting Panel.

Q. Why is it impracticable to specifically forecast property taxes for each taxing authority for Westchester and Other counties?

A. In Westchester and Other counties, the Company pays property taxes to 66 municipalities, each with their own budgets, tax levy, tax rates, and equalization rates, although the equalization rates may be shared by certain assessing units. In addition, school districts within each jurisdiction, which often overlap jurisdictions, each have their own levy and tax rate. Although the property tax process is complicated by the many different areas the Company pays property taxes, the overall process is similar in each area. Therefore, as long as every property in a

locality is assessed at the same percentage of value, all taxpayers pay their fair share of tax assuming their market value has been properly determined.

Q. Why is this the case?

A. Except in areas where tax classification exists, such as NYC, the Real Property Tax Law requires all properties in each municipality to be assessed at a uniform percentage of market value each year. This means that all taxable properties in each city, town, and village must be assessed at market value or at the same uniform percentage of market value each year. Therefore, I calculated an overall escalation percentage, which is appropriate to develop the forecasted property tax amounts. I developed the escalation percentage based on recent historical tax payment information from calendar years 2019 through 2024.

Q. What escalation percentage did you use?

A. I used a five-year average escalation percentage of 2.92%.

Q. Are you sponsoring an exhibit containing the computation of the five-year average escalation rate?

A. Yes. I am sponsoring Exhibit __ (PTP-2) entitled "Consolidated Edison Company of New York, Inc. Five-Year Average of Property Taxes Paid, Westchester County & Other" for that purpose. This exhibit summarizes the tax payments the Company made for the last six calendar years and computes the five-year average for Westchester & Other.

Q. Was Exhibit __ (PTP-2) prepared by you or under your direction and supervision?

A. Yes.

Q. Do you expect taxes in each of the next several years to increase by 2.92%?

A. No. In 2024, the total property taxes paid increased by 18.46% from 2023, which is more than six times the

five year average of the property taxes paid. I believe that the 2.92% five-year average escalation percentage, in addition to the forecasted property taxes associated with the incremental additions to plant in service based on net plant changes, is the most reasonable method to forecast the Company's property taxes in Westchester County & Other based on all known available information at this time.

Q. Are you sponsoring an exhibit containing the computed property tax expense for the incremental additions to plant in service based on the net plant changes?

A. Yes. I am sponsoring Exhibit __ (PTP-3) entitled "Consolidated Edison Company of New York, Inc., Summary of Incremental Property Taxes Based on Forecasted Net Plant Additions, Westchester County & Other" for that purpose. This exhibit summarizes the incremental property taxes based on the forecasted net additions by rate year.

Q. Was Exhibit __ (PTP-3) prepared by you or under your direction and supervision?

A. Yes.

Q. Is there a difference in methodology between the escalation rate you used for Westchester County & Other and the escalation rate you used for NYC?

A. Yes. Except in areas where tax classification exists, such as NYC, the Real Property Tax Law requires all properties in each municipality to be assessed at a uniform percentage of market value each year. This means that all taxable properties in each city, town, and village must be assessed at market value or at the same uniform percentage of market value each year.

Q. Please continue.

A. The five-year average for Westchester County & Other is an average based on actual taxes paid by the Company that should be relied upon to set the level of property taxes in this proceeding.

Q. How did you reflect the 2% cap law under the NYS real property tax law (*i.e.*, N. Y. General Municipal Law Section 3-C) with respect to property taxes in your analyses?

A. I made no effort to specifically reflect the 2% cap law in my analyses.

Q. Why not?

A. The impact of the 2% cap on the Company's property taxes is necessarily limited by the fact that it does not apply to NYC. As to areas outside NYC (*e.g.*, Westchester & Upstate New York Counties), the legislation limits are not dispositive as they may be overridden by a 60% vote of the governing body of the local government or a 60% vote of school district voters. In addition, there are exclusions that limit the reach of the cap. For instance, there are exclusions for court orders or judgments against the governing body or school district. There are also exclusions for contributions to employee retirement

funds beyond specified limits. Other exclusions require computations to determine what the legislation refers to as a "quantity change factor," which may allow the tax levy to increase above the cap due to development. There are also exclusions that will allow school districts to increase the tax levy for certain expenditures associated with facilities, capital equipment, debt service, lease expenditures, and transportation debt service, subject to the approval of the qualified voters where required.

VI. UNCERTAINTY ASSOCIATED WITH FORECASTING PROPERTY TAXES

Q. Why do you believe that a reasonable forecast of the Company's property taxes is not practicable?

A. In NYS, the main revenue source to balance local municipal budgets is property taxes. Local budgets are strongly influenced by the state of the economy, *e.g.*, whether NYC is experiencing budget shortfalls due to an economic downturn. Moreover, as discussed above, the majority of the Company's property taxes are NYC

property taxes. In NYC, the classification system adds complexity and uncertainty.

Q. Please provide an overview of the tax rate process in NYC.

A. Each year, the Mayor submits to the City Council the executive budget for the upcoming fiscal year (*i.e.*, July 1 to June 30). After the City Council adopts a budget, it must fix the annual real property tax rates and authorize the levy of real property taxes for the fiscal year.

Q. What mechanism does NYC use to fix property tax rates?

A. The City Council must pass a resolution, known as the Tax Fixing Resolution, which authorizes the tax rates to be used for each class and authorizes the levy of real property taxes for the fiscal year. The City Council adopted the most recent Tax Fixing Resolution in June 2024, which authorized the use of the tax rates that became effective for fiscal year 2024/2025.

Q. Please continue.

A. The City Council determines the amount of the real property tax levy in the following manner. First, the City Council acknowledges the amount of the fiscal year budget and the estimate of the probable amount of all non-property tax revenues. Both amounts are set forth in a communication from the Mayor. The City Council then determines the net amount to be raised by taxes on real property by subtracting the amount of the fiscal revenue amount from the fiscal budget amount. The property tax is unique in that it is the only tax over which NYC has the discretion to determine the rate without new legislation from the State and, therefore, property taxes may be used to balance the budget. NYC also makes allowances for such items as uncollectible property taxes, refunds and collections of levies from prior years, collectively known as the "property tax reserve." The tax levy is equal to the property tax revenue plus the property tax reserve.

Q. What happens next?

A. After determining the amount of the real property tax levy, the City Council authorizes and fixes the real property tax rates. Three factors determine the amount of tax imposed on a property in NYC: (1) the market valuation for the property itself; (2) the fraction of the market value on which taxes are to be paid; and (3) the tax rate for the property class. As noted above, there are four classes of property in NYC and, therefore, four different tax rates.

Each class is responsible for a specific share of the property tax levy, known as the "class share."

Q. How are the class shares determined?

A. The class shares are determined each year according to a complex statutory formula that takes into account changes in the market value of taxable real property, physical changes resulting from new construction or demolitions, changes in taxable status, and transfers of real property among the four classes. The "base

percentage" is the percentage of total market value that each class constituted on the 1989 base tax roll. This is the roll that was used in setting the tax levy for fiscal year 1990. The "local base proportions" are the class tax shares that were used to fix the tax rates for fiscal year 1991 and comprise the thresholds currently used. Each year the City Council certifies "current percentages" and "current base proportions" to the State Board of Real Property Services ("SBRPS"). The current percentage is similar to the base percentage but applies to the most recent year for which the SBRPS has established class equalization rates (typically the preceding fiscal year). The current base proportions are the local base proportions modified to take into account the market value changes indicated by the latest class equalization rates. The City Council next certifies the "adjusted base proportions" to SBRPS. The adjusted base proportions are the current base

proportions adjusted to reflect physical and quantity changes indicated on the current assessment roll. These adjusted base proportions constitute the class shares applicable to the tax levy on the current tax roll. Fundamentally, the process was designed so that each of the four classes would bear roughly the same class share of the overall tax levy as it did in 1990, subject to physical and market value changes.

Q. Is there a limitation on the levy and/or the class shares?

A. There are two limitations. One is a State constitutional operating limit provision and the other is a five percent cap.

Q. Please describe the operating limit provision.

A. The operating limit provision generally provides that NYC is not allowed to levy taxes on real property in any fiscal year in excess of an amount equal to a combined total of 2.5 percent of the average full valuation of taxable real property for the current

year and the prior four years.

Q. Please describe the second limitation.

A. The second limitation is a five percent cap. The statute provides that the current base proportion (*i.e.*, the current year's class share) of any class cannot exceed the adjusted base proportion or adjusted proportion of the prior year by more than 5%. Where a class's share change exceeds the 5% limit, the excess is spread among the other classes. In most years, the NYS Legislature has passed annual laws lowering the 5% overall cap for Class 1. The effect of these laws has been to cause the other classes to bear more of the overall tax burden than would have been the case under the 5% limit.

Q. Did the NYS Legislature pass an annual law lowering the 5% cap for Class 1 for fiscal year 2024/2025?

A. Yes. Although the Class Shares for Classes 1 and 2 increased based on the fiscal year 2024/2025 market

values, only Class 1's share exceeded the 5% cap and was shifted to another Class.

Q. What Class(es) bore the burden for Class 1's class share in excess of 5% for fiscal year 2024/2025?

A. The excess above the 5% from Class 1 was shifted to Class 3.

Q. Has this type of shift occurred in other years?

A. Yes. Generally, this shift is the primary reason for the increase in the Class 3 tax rate year over year (perpetuating the inequity in Class 3). Any class with a market share greater than its share of the tax levy is receiving a tax preference, which is absorbed by the other classes. Historically, Class 3 has been burdened by this legislation, whereby its class share of the property tax levy is more than double its market value. For fiscal year 2024/2025, Class 3 properties were 4% of the total market value, but its share of the property tax levy was 8%. However, as described earlier in my testimony, Class 3 and

therefore, the Company has benefited from this legislation for fiscal year 2024/2025 due to the tax shock of the more than 20% increase in the citywide taxable assessed values from the prior fiscal year. I also see the potential for cap legislation as one of the factors that make forecasting property taxes in NYC so difficult. Even though there is cap legislation in most years, it is not guaranteed.

Q. Does NYC's tax adjustment process facilitate projecting the Company's future property tax liabilities?

A. No. Thise process can produce very different results from one year to the next. Exhibit __ (PTP-4) entitled "Consolidated Edison Company of New York, Inc., Summary of Historic New York City Property Tax Rates," which was prepared under my direction and supervision, illustrates the volatility of Class 3 and 4 rates over time.

Q. Please provide an example of this tax rate volatility.

A. In fiscal year 2017/2018, NYC raised the property tax rate for Class 3 property from 10.934% to 11.891%. This resulted in more than a 9% increase in the property tax rate from the prior fiscal year, while decreasing the property tax rate for Class 4 from 10.574% to 10.514%, a decrease of 1%. In contrast, for fiscal year 2024/2025, NYC lowered the property tax rate for Class 3 property to 11.181% from 12.094% for fiscal year 2023/2024, while increasing the property tax rate for Class 4 to 10.762% for fiscal year 2024/2025 from 10.592% for fiscal year 2023/2024. This resulted in, more than an 7% decrease in the Class 3 property tax rate from the prior fiscal year, while increasing the property tax rate for Class 4 for by nearly 2%.

Q. Can you provide an example of the effect of a tax rate change for NYC?

A. Yes. Absent any other changes in the forecast, a 10.0% increase from fiscal year 2024/2025 (*e.g.*, an

increase from 11.181% to 12.299% for Class 3 and an increase from 10.762% to 11.838% for Class 4) for fiscal year 2025/2026 in NYC's property tax rates above the tax rates I have used in my forecast would increase Rate Year taxes by $29.4 million for electric properties and $5.1 million for gas properties.

Q. What property tax rates do you propose to use for purposes of these proceedings?

A. As discussed above, I selected tax rates that are based on a five-year average of percent changes for Class 4, and the Class 3 property tax rate is based on the five-year average of the most recent property tax rates.

Q. Do you expect the rate changes in each of the next several years to be equal to your forecasted Classes 3 and 4 property tax rates based on the five-year historical data?

A. No. NYC property tax forecasts are subject to much uncertainty and actual tax rate changes can be quite

volatile. For example, NYC's tax rates have increased as much as 18.5% from one year to the next. I will address that subject later in my testimony, but I note that it is that degree of possible variability that results in an inability to reasonably forecast property taxes for the Rate Year, even based on recent experience. It is also for these reasons that a full property tax reconciliation is justified and appropriate.

Q. Will you update the NYC tax rates during the course of these proceedings?

A. Yes. I will update my forecast for tax rate changes if available, during the course of these proceedings.

Q. Does the Company have a proposal regarding reconciliation of property taxes for the Rate Year?

A. Yes. Given the variability and uncertainty discussed above, and the Company's very limited ability to mitigate this variability and uncertainty, the Company

believes that an accounting and ratemaking mechanism that fully insulates customers and the Company from property tax forecast variations is reasonable and appropriate. The Accounting Panel describes this full and symmetrical property tax reconciliation mechanism in its direct testimony.

Q. Will a full and symmetrical property tax reconciliation reduce the Company's incentive to mitigate its property tax liability?

A. No. As I explain in greater detail later in my testimony, and as the Company has explained in numerous rate proceedings, meetings with the Staff of the Department of Public Service ("Staff"), and annual reports to the Commission of the Company's activities regarding property taxes, the Company has a long history of actively fighting to reduce the Company's property tax burden. Challenges to unfair assessments, litigation, lobbying efforts to seek favorable legislation, and aggressively pursuing

available property tax benefits are a normal course of business for the Company.

Q. Has the Commission previously approved the full reconciliation of property taxes for a single-year rate plan?

A. Yes, in Case 08-E-0539, a rate case in which the Commission established electric rates for Con Edison on a litigated rather than settled basis and for a single rate year (*i.e.*, outside of the context of a multi-year rate plan on settled terms). Given the variability and uncertainty I have discussed above and the incentives recognized by the Commission, a full and symmetrical property tax reconciliation mechanism that serves to protect both customers and the Company from forecast variations is both reasonable and appropriate.

VII. EFFORTS TO MINIMIZE PROPERTY TAXES

Q. Please summarize the Company's efforts to minimize property taxes.

A. The Company has aggressively challenged its property tax assessments in an effort to have its customers pay no more than its fair share of property taxes. The Company has been and remains very concerned with the level of property taxes in its service territory and the impact of these taxes on customers.

Q. Please discuss the Company's efforts to reduce property taxes.

A. As discussed earlier in my testimony, property tax amounts are a function of a tax rate multiplied by an assessed value. The Company has no influence on the tax rates that municipalities set. Therefore, the Company focuses on the fairness of assessed values set by the municipalities.

Q. How do you determine which assessments should be challenged?

A. Each year the Company reviews property assessments to determine if they fall within a range of reasonableness under an RCNLD valuation. This

approach to valuation begins with the original cost of property, which is then trended to the current time period using Handy-Whitman indices to arrive at an estimated cost to reproduce the property today. That valuation is then reduced by depreciation. The RCNLD methodology develops what is considered the current value of utility property and the method is used for valuation purposes by the ORPTS and NYC's assessors. If the actual assessments vary substantially from the RCNLD calculations, the Company files complaints with the applicable taxing authorities. I first attempt to settle these complaints through negotiation, as I believe that a settlement is a more cost-effective way of reducing the Company's tax burden than costly prolonged litigation, which requires independent appraisals and has uncertain outcomes. I do, however, pursue litigation when my efforts fail to result in what I believe to be a fair compromise.

Q. Please describe the tax controversy process.

A. As indicated, under my supervision, the assessed values of the Company's properties are monitored and action is taken for each property that I believe is not fairly assessed. Each municipality's assessing authority publishes a tentative assessment roll on an annual basis. The roll includes the annual tentative assessed values for each property located in the jurisdiction. If a taxpayer disagrees with the tentative assessment for their property, they may file an administrative complaint during a designated grievance period. During that period, in order to determine if any assessments should be challenged, the Company undertakes a review of its assessments to determine whether they fall within a range of reasonableness when calculated under RCNLD. In NYC, the Company files a complaint with the Tax Commission, if the tentative assessment is $1 million or greater, and the calculated assessment variation based on the Company's RCNLD calculation is greater than $1

million. Outside of NYC, the Company files a compliant with the Tax Assessors office, if the calculated market value variation based on the Company's RCNLD calculation is greater than 25% and the property tax dollar amounts involved are significant. The municipality must respond to the administrative complaint and it has been the Company's experience that complaints are routinely denied. Accordingly, after the tentative assessment roll becomes final, the Company files tax certiorari petitions with the applicable court to formally contest the final assessments. The Company makes every effort to settle these challenges by meeting with the assessors and with town or city officials. However, when efforts to reach a fair compromise fail, the Company pursues litigation.

Q. Please discuss the Company's efforts to reduce property taxes in NYC.

A. The Company has continued negotiations with the NYC Law Department concerning the settlement of proceedings challenging the assessments on certain of Con Edison's locally-assessed properties for the fiscal years 1994/1995 through 2024/2025.
In October 2024, Con Edison again filed real property tax petitions with the NYC Tax Commission that seek reductions of Con Edison's 2024/2025 final tax assessments on real property. The filings were based on the real property tax assessment roll finalized in May 2024. Each year such applications are filed for a great number of Con Edison's properties that the Company views as over-assessed. Con Edison now has filings on approximately 25% of its NYC properties dating back to fiscal year 1994/1995.

Q. Has the Company had any significant successes?

A. Yes. During 2013, Con Edison obtained a significant property tax refund from NYC. After extended negotiations with the NYC Law Department, we reached a

settlement covering the production plant assets at the Hudson Avenue Station for the years 1994/1995 through 2011/2012 and at the Ravenswood and Astoria Stations, formerly owned by Con Edison, for the years 1994/1995 through 1998/1999. As a result of this settlement, the Company received a lump-sum tax refund of $140 million. In its February 21, 2014 order adopting rate plans in Con Edison Cases 13-E-0030, *et. al.*, the Commission approved the distribution of the refund in the manner provided for by Con Edison's then applicable rate plans. This distribution resulted in electric customers being credited with approximately $85.0 million, and steam customers with approximately $34.9 million.

Q. Has the Company had any more recent successes?

A. Yes. In 2017, the Company reached a settlement agreement with NYC for the over-assessment in value for the 74th Street generating station and its substation, as well as the 59th Street Steam generating

station resulting in cash refunds in 2018, in the amounts of $30.8 million and $19.8 million, respectively.

Q. Please explain the details of those settlement agreements.

A. Beginning in the 1994/95 tax year and continuing through the 2013/14 tax year (together the "Tax Assessment Years"), Con Edison commenced lawsuits against NYC in Supreme Court, New York County, in order to challenge NYC's assessments of the structures, machinery and equipment located at the 74th Street generating station and its substation ("74th Street") and the 59th Street Steam generating station ("59th Street) (collectively "the Properties") for the Tax Assessment years.

Q. Please continue.

A. Appraisals were exchanged on the valuations of the Properties and a trial regarding 74th Street was scheduled for February 16, 17, and 18, 2016. Trial of

59th Street was to occur at a later date following the 74th Street trial. At the urging of the court, the parties engaged in extensive settlement negotiations and eventually agreed to a reasonable compromise on 74th Street for the Tax Assessment Years. A consent judgment was signed by the Judge on March 6, 2017 and NYC paid the Company a cash refund on July 24, 2017 in the amount of $30,789,354.97. The Commission approved the distribution of the refund in the manner provided for by the Company's previous and current rate plans. This distribution resulted in electric customers being credited with approximately $9.7 million, and steam customers with approximately $16.5 million.

Q. Please continue.

A. Once NYC and the Company agreed to settle 74th Street, NYC was willing to entertain settlement discussions for 59th Street. After months of extensive negotiations, on December 13, 2017, the Supreme Court New York County approved a Stipulation of Settlement

for 59th Street for the Tax Assessment Years. In 2018, NYC paid the Company a total cash refund of $19,782,824.38. The Commission approved the distribution of the refund in the manner provided for by the Company's current rate plans. This distribution resulted in electric customers being credited with approximately $3.1 million, and steam customers with approximately $13.8 million.

Q. Please continue.

A. In October 2024, Con Edison again filed real property tax petitions with the NYC Tax Commission seeking assessment reductions for about 20% of its Class 3 and Class 4 properties.

Q. Please explain the Company's additional efforts to reduce property taxes.

A. Aside from litigation, Con Edison has for several years secured the tax benefits provided under the state law Industrial and Commercial Incentive Program ("ICIP") in NYC. The ICIP was enacted to encourage

the development, expansion and preservation of commercial and industrial real estate. The ICIP grants a property tax exemption for the additional real property taxes that would otherwise be payable as a result of eligible industrial and commercial construction work. Con Edison has filed ICIP applications for projects involving the construction of new facilities and substations, substation renovations, and substation upgrades. The Company filed for and received the exemption for 20 projects, some of which involved multiple filings. Assuming current tax rates, these exemptions will generate more than $1 billion in tax savings over the course of their benefit periods, which range from 12 to 25 years. Despite efforts by Con Edison to extend the ICIP program, the program expired as of June 30, 2008. Con Edison continues, however, to receive benefits for the projects that were eligible under ICIP. During the 2024/2025 fiscal year, Con Edison estimates that the

tax savings related to ICIP will amount to $31 million.

Q. Does the Company challenge its special franchise taxes?

A. Yes. The Company has open challenges on its special franchise taxes in NYC. The Company commenced proceedings in Supreme Court, Albany County challenging the ORPTS special franchise full values for NYC's 2018 through 2023 assessment rolls. The Court has yet to set discovery, the appraisal exchanges and trial dates.

Q. Please continue.

A. The special franchise complaints allege that the ORPTS's application of the RCNLD methodology produces anomalous results that significantly overstate the value of special franchise property. The complaints are based on the ORPTS not properly taking into account the effects of:

- Changes in the cost of materials;

- Depreciation due to use of an artificial property age ceiling in relation to the property's average service life; and
- The proper level of Economic Obsolescence ("EO") and Functional Obsolescence ("FO").

Q. Does the Company receive EO and FO benefits?

A. Yes. Although the Company has challenged the amount of obsolescence allowances in our special franchise tax legal actions, Con Edison continues to apply for and receive EO and FO benefits. A request for an EO benefit is filed on electric and gas services and the FO benefit is filed on the Company's gas low pressure distribution mains. For 2025, the Company was approved for a reduction for EO of 9% on our gas plant, which will be applied to the 2025 NYC special franchise full values. The Company was denied reductions for economic obsolescence on our electric plant in NYC, as well as our electric and gas plant

outside of NYC. We also requested a reduction for functional obsolescence for excess capacity in the gas distribution low pressure system from ORPTS. The ORPTS will apply reductions for FO on the gas distribution mains as follows: City of Yonkers 9%; Borough of Bronx 3%; Borough of Manhattan 6%; and Borough of Queens 5%.

Q. Please discuss the Company's other efforts to reduce property taxes in Westchester & Other.

A. The Company aggressively challenges property tax assessments outside NYC. As detailed in the Company's annual Property Tax Reduction Reports filed with the Commission, the Company has reached property tax settlements with many of the cities, towns, and villages in Westchester and Upstate. These settlements cover a significant amount of the Company's property outside NYC and the Company continues to monitor assessments in all of these areas to determine if additional challenges are warranted.

Q. Has the Company commenced any recent proceedings to challenge property taxes outside NYC?

A. Yes. In 2024, the Company commenced proceedings with the Town of Stony Point to reduce the assessed value for the transmission line from Ramapo Substation to the Mid-Hudson River. The settlement negotiations between the Company and the Town of Stony Point are on-going.

Q. Please continue.

A. In 2023, the Company reached a settlement agreement with the Town of Cortlandt in the over-assessment in value for the poles and towers on private property. The terms of the settlement agreement will reduce the market value based on the Company's RCNLD calculation, which will result in future assessment reductions. In addition, the Company received a cash refund of $149,797 for earlier lawsuits filed with the Town of Cortlandt for the years 2017 through 2022. Similarly, in 2020, the Company and the Town of Yorktown reached

a settlement agreement to reduce the assessed value for the Hunter Brook substation to the market value based on the Company's RCNLD calculation. The terms of this settlement will yield tax savings on future assessment reductions over four years beginning in 2021.

Q. Does the Company also pursue legislative avenues to mitigate its property tax liabilities?

A. Yes. Representatives of the Company have met with representatives from the NYS Department of Taxation and Finance to discuss a proposal to centralize property tax assessments. Central assessment of the Company's non-special franchise property would lead to cost efficiencies, promote uniform assessment practices and result in a lower likelihood of litigation challenging the method of determining assessments.

Q. How would the Company benefit under central assessment?

A. The Company has long supported and pursued central assessment legislation. Con Edison believes that the ORPTS staff is in the best position to value utility properties given their expertise and independence. central assessment by the ORPTS would provide for a uniform method of assessment state-wide, which would reduce the number of separate tax grievances that Con Edison files. In addition, the ORPTS property assessments are generally more current and transparent, as Con Edison is required to report all of its property additions to the ORPTS. Overall, the ORPTS property assessments may result in tax reductions on some of Con Edison's properties. The main goal of the proposal, however, is to establish assessment uniformity, predictability and transparency. In fact, central assessment could also provide some financial relief to local governments that must secure outside expertise to value certain complex utility properties and are frequently required

to defend these assessments in court, resulting in appraisal and legal fees and property tax refunds resulting from successful legal challenges brought by utility companies.

Q. What is the legislative status of central assessment?

A. In December 2017, Chapter 510 of the Laws of 2017 was enacted, establishing a five-year pilot program wherein all of Con Edison's Westchester properties that are valued locally were valued by the ORPTS commencing January 1, 2018. The Governor's approval message stated that the law would be amended to require the NYS Department of Tax and Finance, in consultation with the Commission, to study the viability of implementing central assessment for utility properties state-wide, with recommendations due May 1, 2018. The required study was published in November 2018 and both the NYS Department of Taxation and Finance and the Commission recommended Central Assessment for all utility companies.

Q. Please continue.
A. After the study was published, the Company met with NYS government officials to discuss the study recommendations and implementing central property tax assessments by ORPTS for all utility property located throughout NYS. The Company prepared draft legislation to effectuate the recommendations and in May 2019 such legislation was introduced in the Senate and the Assembly ((Harckham) / (Galef)) and in January 2021 was reintroduced for the current legislative session ((Harckham) / (Galef)). Although the legislation has not yet passed, the Company has met with members of the Senate and Assembly and legislative staff to advocate for its passage and will continue to support this proposed legislation.
Q. Has the Company pursued any other legislative avenues to mitigate its property tax liabilities?
A. Yes. The Company prepared draft legislation to limit real property taxes on clean energy investments by

establishing an exemption from taxation for energy related public utility property to attain NYS climate goals. In May 2024, during the 2023-2024 NYS Legislative Session, the bill was introduced (Parker) and is currently in the Energy and Telecommunications Senate Committee.

Q. How would the Company benefit from an exemption from taxation for energy related public utility property to attain NYS climate goals?

A. This bill seeks to mitigate the costs to utility customers and NYS residents by exempting from real property taxation energy infrastructure built to meet NYS's climate goals, which would include special ad valorem levies and special assessments.

Q. Does the Company keep the Commission and Staff apprised of the Company's efforts to reduce its property tax obligations?

A. Yes. The Company prepares an annual report to the Commission of its efforts to reduce its property tax

obligations. The report is filed with the Commission each March. The Company also meets with Staff to update them on property tax issues. Legislative efforts and accounting and assessment issues have regularly been part of that agenda.

Q. Despite the Company's efforts to mitigate property taxes, do the Company's property taxes continue to increase?

A. Yes. The funds raised via the property tax levy are often the major revenue source used to finance county and local governments and public schools. The Company bears an inordinate share of the levied tax obligations determined by the taxing authorities seeking to raise the funds they determine are needed. Those needs, in concert with the Company's activities resulting in increased capital investment, have historically resulted in higher tax bills for the Company despite successful Company challenges to assessed valuations of its property.

VIII. DISPOSITION OF PROPERTY TAX BENEFITS ON FUTURE PROPERTY TAX REDUCTIONS

Q. Please discuss the Company's proposal regarding the disposition of property tax benefits from property tax settlements.

A. The electric and gas plans under which the Company is currently operating provide that the Company shall retain an amount equal to 14% of the property tax refunds and/or credits allocated to electric and gas operations against future tax payments. Consistent with the Commission's long-standing policy of allowing utilities to retain a percentage of tax refunds to encourage them to challenge questionably imposed taxes, these provisions should be reauthorized in these proceedings.

Q. Do you propose that the Company continue the Commission's long-standing policy to retain an amount equal to 14% of the property tax refunds and/or

credits allocated to electric and gas operations against future tax payments.

A. Yes.

Q. Does this conclude your direct testimony?

A. Yes, it does.